

return 10 percent per year give such different results after 30 years?

The reason is that profits from the Reinvest have initially grown tax free and been taxed only once at the end of the 30 years. Profits from the Payout have been taxed every year because you received income. In other words, the *profits on the profits* were bigger for the Reinvest. This is all to do with the power of compounding. By pushing back the day when you had to pay taxes, you have increased your total gains.

This gives yet another reason not to go into the “low-risk” income portfolio as you get older: Your gross profits will be lower. Your taxed profits will be lower, too. And your taxes will be paid earlier—another big hit to long-term returns. Over the 20 or 30 years that you might be in this strategy, it makes a major difference.

LET MR. MARKET TELL HIS STORY

One of the convenient fibs of the last half-century was that there was no story. Market movements were said to have been completely random and completely unpredictable. There was no point in trying to step back and understand the direction of the market or to see the big picture. There was no picture to see. As Peter Lynch put it, if you spent 13 minutes per year thinking about the big picture, you wasted 10 minutes.

Lynch got lucky. He was a stock picker when stocks were enjoying one of the greatest booms in history. His view might have changed if he had been picking stocks when they were going down.

But Lynch and stock picking were popular. So people stopped looking for the story. They weren't interested. It was as if they were on a train, playing cards. They were all having such a good time that nobody bothered to look at what was up the tracks. Why spoil the party? If you had joined the party in 1980, you could have enjoyed yourself for 20 years without trouble. Two decades' worth of investors could have made money without looking out the window. The bull market in stocks continued, year after year. You could have been a winner from the time you began investing at 35 to the time you